The environment and collective action

With climate change, the world faces a gigantic collective action problem. Imagine a business in Spain which produces greenhouse gases. It might limit emissions if they reduce its own profits, but like other businesses, it will not take into account the impact of its emissions on other firms, whether Spanish, French or German. Another aspect of the collective action problem is that protection of the environment is what economists call a ‘public good’ (see Public goods and free riding), and raises the question of why one should contribute to the costs of protection when one can free ride on the efforts of others. For climate change, the problem is acute because the greatest costs will be borne in the future rather than the present. One solution is to set pollution quotas, although these are hard to enforce. Another is to tax pollution. Carbon-trading schemes attempt to create a market for pollution, forcing firms to face the full costs of their pollution production. This allows firms who can easily cut emissions to make the biggest reductions.